



PVR reported a dismal performance in Q4FY22 which was below our expectations across the board

- Revenue at INR 5,371 Mn, -13% qoq / +196% yoy and below our estimates of INR 7,459 Mn
- EBITDA stood at INR 999 Mn vs EBITDA of INR 1,649 Mn / INR (567) Mn | qoq / yoy
- PBT loss stood at INR (1,515) Mn vs loss of INR (192) Mn and loss of INR (2,448) Mn | qoq / yoy
- PAT loss stood at INR (1,055) Mn vs loss of INR (102) Mn and loss of INR (2,891) Mn | qoq / yoy
- EPS stood INR (17.3) vs INR (1.7) / INR (56.3) | qoq / yoy
- Admits stood at 14.3 Mn in Q4FY22 vs 14.5 Mn / 5.8 Mn in Q3FY22 / Q4FY21 respectively
- ATP stood at INR 242 in Q4FY22 vs INR 239 / INR 183 in Q3FY22 / Q4FY21 respectively
- SPH stood at INR 122 in Q4FY22 vs 129 / 122 Q3FY22 / Q4FY21 respectively
- Gross debt stands at INR 1,505 Cr in Q4 vs 1,536 Cr / 1,352 Cr in Q3FY22 / Q4FY21 respectively
- Net Debt stood at INR 927 Cr in Q4 vs 858 Cr / 619.6 Cr in Q3FY22 / Q4FY21 respectively

Key Takeaways of the result:

- Due to severe economic and political crisis in Sri Lanka, the local currency has witnessed significant devaluation. PVR booked a foreign exchange reinstatement loss of INR 87.2 Mn on outstanding loans during Q4.
- Opened 29 screens across 5 properties in FY22. Closed 23 screens across 9 properties on 31st March 2022
- ATP of INR 242 (vs 239 last quarter) and SPH of INR 122 (vs 129 last quarter)
- Average rental discount for Q4 was 18%. March had negligible discount. Going ahead, there will be no rental discounts and normal payments will resume.

Financial Summary

Y/E Mar (Rs mn)	FY19	FY20	FY21	FY22	FY23F	FY24F
Net sales	30856	34144	2800	13310	35019	44361
% growth	32%	11%	-92%	375%	163%	27%
EBITDA	5863	10766	-3349	1057	11147	14502
PBT	3002	901	-9383	-6807	809	4133
Adj. PAT	1894	269	-6589	-4885	550	2728
EPS (Rs)	39.3	5.3	-127.5	-80.0	9.0	44.7
EV/EBITDA (x)	15.7	12.6	-39.9	146.8	14.2	10.7
P/B (x)	6.5	6.0	8.0	30.9	26.6	16.1
P/E (x)	44.2	326.2	-13.6	-21.7	192.1	38.8
D/E	0.8	0.8	1.1	4.5	3.3	1.8
ROCE (%)	18%	12%	-15%	-9%	10%	15%

Source: Company

Rating	TP (Rs)	Up/Dn (%)
BUY	2,229	28

Market data

Current price	Rs	1,735
Market Cap (Rs.Bn)	(Rs Bn)	107
Market Cap (US\$ Mn)	(US\$ Mn)	1,386
Face Value	Rs	10
52 Weeks High/Low	Rs	10.35 / 1150.75
Average Daily Volume	('000)	1,993
BSE Code		532689
Bloomberg		PVRLIN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	17.01	17.02
Public	82.99	82.98
Total	100	100

Source: BSE

Mayank Babla
(022) 67141412
mayank.babla@dalal-broacha.com

Conference Call Key Highlights

- Operations were impacted in January and February due to Omicron and extended lockdowns in Delhi and Haryana
- Incurred EBITDA losses in January and February and EBITDA profit in March (~20% EBITDA margins on a pre-IndAS basis)
- Number of shows per day have returned to pre-COVID normal of 5+ per day (except in Jammu and Sri Lanka)
- Planned Capex of INR 350-400 Cr for new screens (target of opening 120-125 screens in FY23) and maintenance of old screens
- PVR-Inox merger: will take 2-3 months for approval from exchanges and 6-8 months for approval from NCLT. Management expects the entire approval in 6-9 months
- 8 week window before OTT release will begin from July
- Ad spends recovered to 40% of pre-COVID levels in March and will take another quarter before complete recovery
- Cineline properties contributed approximately 2% of pre-pandemic revenue (lease expired from 1st April 2022)
- Employee cost stood at INR 81 Cr as per Q4FY22 which was roughly INR 100 Cr per quarter in FY20. Going ahead, company expects to maintain lower headcount even at the same store level as earlier. Seen a 11-12% hike in employee costs due to inflation and additional hikes as salaries were not increased over the last 2 years. However, this should be offset by higher realizations. Therefore, people cost in FY23 should be similar or slightly lower than FY20 so the 10% cost savings during COVID would become minimal.
- Liquidity of INR 667 Cr available
- Average cost of debt is close to 9%

Valuation & Outlook

PVR is currently trading at an EV/EBITDA multiple of 14.2x / 10.7x FY23e / FY24e EBITDA.

Although, PVR reported a weaker than expected Q4FY22 performance, a strong content pipeline, number of shows per day returning to pre-COVID normal of 5 per day, higher ATPs & SPHs and wider audience for regional cinema bode well for the company and the industry. Moreover, impending merger of PVR and Inox should create a virtual monopoly in the movie exhibition industry.

Taking the above points into consideration, **we retain our BUY rating on the stock and upgrade our target price** (from INR 2,001) **to INR 2,229 based on our FY24 estimates.**

Financials

	Profit & Loss A/c					
YE March (Rs. mn)	FY19	FY20	FY21	FY22	FY23F	FY24F
Total Revenue	30856	34144	2800	13310	35019	44361
<i>Growth %</i>	32%	11%	-92%	375%	163%	27%
Less:						
Film Distributors Share	7019	7335	472	2860	8081	9650
F&B cost	2387	2637	258	1115	2632	3490
Employee cost	3373	3938	2171	2693	3998	5127
Other expenses	7154	9469	3249	5585	9160	11592
Total Operating Expenditure	24992	23379	6149	12253	23872	29859
EBIDTA	5863	10766	-3349	1057	11147	14502
<i>Growth %</i>	46%	84%	-131%	-132%	954%	30%
<i>EBITDA Margin (%)</i>	19%	32%	-120%	8%	32%	33%
Less: Depreciation	1913	5425	5748	6144	5862	6003
EBIT	3951	5341	-9098	-5087	5285	8499
EBIT Margin	13%	16%	-325%	-38%	15%	19%
<i>Growth %</i>	59%	35%	N.A.	N.A.	N.A.	N.A.
Interest Paid	1,280.1	4,817.9	4978	4982	4854	4744
Non-operating Income	331.4	377.9	4693.4	3261.3	377.9	377.9
Exceptional Items	-	-	-	-	-	-
Profit Before Tax	3002	901	-9383	-6807	809	4133
Adjusted PBT	3002	901	-9383	-6807	809	4133
Tax	1096.6	627.4	-2794	-1922	259	1405
Net Profit	1894	269	-6589	-4885	550	2728
Adjusted Profit	1894	269	-6589	-4885	550	2728
<i>Growth %</i>	51%	-86%	N.A.	N.A.	N.A.	N.A.
<i>Net Profit Margin (%)</i>	6%	1%	-235%	-37%	2%	6%
Reported Diluted EPS Rs	39.3	5.3	-127.5	-80.0	9.0	44.7
<i>Growth %</i>	47%	-86%	N.A.	N.A.	N.A.	N.A.
Adjusted Diluted EPS Rs	39.3	5.3	-127.5	-80.0	9.0	44.7

	Balance Sheet					
YTM March (INR Mn)	FY19	FY20	FY21	FY22	FY23F	FY24F
ASSETS						
Current Assets						
Cash in hand and at banks	352	3,235	7,323	5,786	14,691	16,769
Accounts receivable	1,839	1,893	307	707	1,151	1,823
Total Current Assets	3,934	7,536	10,023	8,661	18,240	21,631
Non-current Assets						
Gross Block	20,056	22,750	23,660	26,260	30,710	31,710
Less Depreciation	5,157	6,392	8,621	11,084	14,562	18,150
Net Block	14,900	16,358	15,039	15,175	16,147	13,559
Capital Work in progress	2,208	1,547	2,172	645	645	645
Right of Use Assets		30,047	27,808	26,783	33,350	39,979
Investments	100	11	3	2,586	2,586	2,586.2
Others	4,371	3,797	3,581	840	2,399	3,798
Total non-current assets	21,578	51,760	48,602	46,030	55,127	60,567
TOTAL ASSETS	25,512	59,297	58,625	54,691	73,368	82,198
LIABILITIES AND EQUITY						
Current liabilities						
Trade & notes payable	7,287	6,187	5,469	4,164	6,716	8,508
Lease Liabilities		2,024	2,421	2,769	6,224	5,887
Total Current Liabilities	11,713	11,739	10,801	9,836	26,922	34,306
Noncurrent liabilities						
Secured Loans	11,461	12,043	11,793	15,549	13,043	12,043
Total noncurrent liabilities	11,461	47,734	45,884	49,687	50,732	49,597
TOTAL LIABILITIES	23,174	59,473	56,685	59,523	77,654	83,903
SHAREHOLDERS' EQUITY						
Share Capital	467	513	517	610	610	610
Retained Earnings	11,928	14,289	7,697	13,094	13,645	16,227
Total Shareholders' Equity	12,395	14,802	11,155	13,704	14,255	16,837

Valuation Ratios						
YE March (Rs. mn)	FY19	FY20	FY21	FY22	FY23F	FY24F
P/E (x)	44.2	326.2	-13.6	-21.7	192.1	38.8
P/BV (x)	6.5	6.0	8.0	30.9	26.6	16.1
EV/EBIDTA (x)	15.7	12.6	-39.9	146.8	14.2	10.7
EV/Sales	3.0	4.0	47.7	11.7	4.5	3.5
Market Cap./ Sales (x)	2.6	2.6	32.0	8.0	3.0	2.4

Ratio Analysis						
YE March (Rs. mn)	FY19	FY20	FY21	FY22	FY23F	FY24F
RoCE (%)	18.0%	12.0%	-15.2%	-9.2%	9.8%	15.3%
Current Ratio (x)	0.3	0.8	0.6	0.5	0.4	0.4
Dividend Payout (%)	6%	45%	0%	0%	0%	5%
Interest Coverage (x)	3.1	1.1	-1.8	-1.0	1.1	1.8
Debt to Equity Ratio	0.8	0.8	1.1	4.5	3.3	1.8

Source: Dalal & Broacha Research, Company

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time. SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any

copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail FMCG Logistics
Mr Mayank Babla	Sr. Analyst	mayank.babala@dalal-broacha.com	022-67141412	IT Telecom Media
Mr. Avinash Tanawade	Sr. Analyst	avinash.tanawade@dalal-broacha.com	022-67141449	BFSI
Mr, Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022-67141444	Midcaps
Mr. Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022-67141489	FMCG Retail
Mr. Harsh Shah	Associate	harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | : equity.research@dalal-broacha.com